

OPERATING ENVIRONMENT

THE INDUSTRY ALSO CONTINUED BENEFITING FROM GROWTH IN AIR PURIFICATION APPLICATIONS DRIVEN BY TIGHTENING INDUSTRIAL EMISSION STANDARDS, INDOOR AIR QUALITY CONCERNS AND INCREASING ENVIRONMENTAL COMPLIANCE REQUIREMENTS ACROSS DEVELOPED AND EMERGING MARKETS. MEANWHILE, INCREASING GLOBAL ADOPTION OF ELECTRIC VEHICLES, RENEWABLE ENERGY STORAGE SYSTEMS AND ADVANCED ELECTRONICS CONTINUED TO SUPPORT GROWING INTEREST IN SPECIALISED ACTIVATED CARBON SOLUTIONS USED IN ENERGY STORAGE APPLICATIONS INCLUDING SUPERCAPACITORS AND BATTERY TECHNOLOGIES.



As Haycarb continued to look beyond today's horizons and progress toward future possibilities, the Group remained focused on navigating immediate challenges while embracing emerging opportunities within an increasingly dynamic global landscape. The operating environment during 2025/26 continued to evolve amidst shifting geopolitical, economic, technological, environmental, and regulatory developments that are reshaping industries and stakeholder expectations worldwide. In driving toward its long-term strategic aspirations, understanding the broader external environment and responding to change with agility and discipline remained essential in strengthening resilience, enabling sustainable growth, and positioning the Group to move confidently beyond conventional boundaries.

INDUSTRY ANALYSIS – GLOBAL ACTIVATED CARBON INDUSTRY

The global activated carbon industry continued to demonstrate resilient growth during the year under review, supported by increasing environmental regulations, rising industrialisation, growing water purification requirements and expanding demand for specialised sustainable solutions across multiple end-use sectors. Activated carbon continues to play a critical role in water treatment, air purification, food and beverage processing, pharmaceutical applications, gold recovery and emerging energy storage technologies.

Global demand for activated carbon remained primarily driven by tightening environmental standards relating to water and air quality. Increasing global focus on the removal of contaminants such as PFAS ("forever chemicals"), volatile organic compounds (VOCs), industrial pollutants and wastewater contaminants continued to support long-term demand growth for activated carbon solutions. Industry reports indicate that activated carbon remains one of the preferred and most commercially viable technologies for PFAS remediation and advanced purification applications.

The global activated carbon market is also expected to witness continued long-term expansion. Multiple industry analyses

project steady growth in the global activated carbon market supported by increasing investments in municipal water treatment, industrial filtration systems, emission control applications and sustainable purification technologies. Market studies estimate the global activated carbon market to grow at compound annual growth rates ranging between approximately 8% to 9% over the medium to long term.

COCONUT SHELL BASED ACTIVATED CARBON INDUSTRY

Within the broader activated carbon industry, coconut shell-based activated carbon continues to gain increasing strategic importance owing to its superior adsorption characteristics, lower ash content, higher hardness and renewable raw material base. Coconut shell activated carbon is widely preferred for high-purity applications including drinking water purification, air purification, pharmaceuticals, food processing and energy storage applications. Industry sources indicate that coconut shell-based activated carbon markets are expected to continue expanding steadily over the coming years driven by increasing preference for sustainable and high-performance carbon solutions.

Demand for activated carbon used in water treatment applications remained particularly strong during the year under review. Increasing concerns relating to drinking water quality, wastewater treatment and industrial discharge standards continued to accelerate investments in purification technologies globally. Reports indicate that water treatment continues to account for a significant proportion of global activated carbon consumption, while PFAS remediation is emerging as an important long-term growth driver for the industry.

The industry also continued benefiting from growth in air purification applications driven by tightening industrial emission standards, indoor air quality concerns and increasing environmental compliance requirements across developed and emerging markets. Meanwhile, increasing global adoption of electric vehicles, renewable energy storage systems and advanced electronics continued to support growing interest in

OPERATING ENVIRONMENT

specialised activated carbon solutions used in energy storage applications including supercapacitors and battery technologies.

Geographically, Asia continued to remain a key growth region for activated carbon demand supported by industrial expansion, urbanisation and increasing environmental investments across several regional economies. North America also continued to witness strong demand momentum supported by stricter water treatment regulations and growing PFAS remediation requirements. However, global supply chains continued to face certain challenges during the year including raw material availability constraints, geopolitical uncertainties,

freight cost volatility and elevated energy prices, which created cost pressures across the industry.

The coconut shell charcoal market also experienced continued supply-side pressures during the year. Industry reviews indicate increasing export volumes and pricing trends for coconut shell charcoal-based activated carbon products reflecting sustained global demand and raw material tightness across several producing regions.

Despite prevailing macroeconomic uncertainties, the long-term outlook for the activated carbon industry remains favourable supported by growing environmental

awareness, increasingly stringent purification standards, rising industrial demand and the transition towards more sustainable and advanced purification technologies globally.

(Sources – Fortune Business Insights, International Coconut Community (ICC) Market Review)

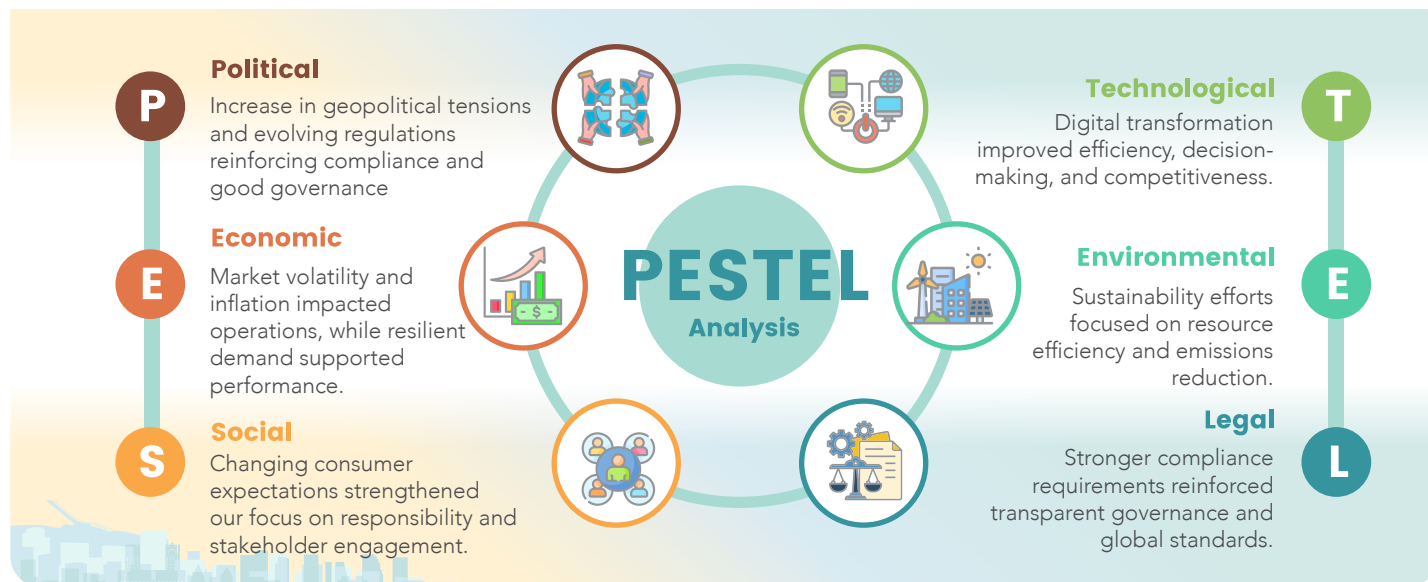


Global Market Share
Driving Sustainable
Growth

16%

OUR INDUSTRY POTENTIAL AND POSITIONING - FIVE FORCES MODEL





HIGHLIGHTS

- » Increasing geopolitical fragmentation and shifting global alliances continued to reshape international trade and regulatory environments heightening uncertainty across global markets during 2025/26. (World Economic Forum – Global Risks Report 2026).
- » Escalating tensions in the Middle East and the outbreak of conflict in early 2026 disrupted global energy markets and supply chains, resulting in higher energy, logistics, and freight costs, as well as extended shipment lead times.
- » Changes to the US import tariff framework during 2025/26 created additional uncertainty for global exporters and manufacturers.

IMPACT ON HAYCARB

- (-) Supply chain disruptions and implications on costs
- (-) Demand uncertainty
- (-) Implications on commodity and energy prices

OUR RESPONSE

- » A robust Enterprise Risk Management Framework that enables effective identification, assessment, mitigation and monitoring of emerging risks.
- » Geographic diversity across markets, supply chains and operations.
- » Deep customer engagement to develop collaborative strategies to mitigate emerging challenges arising as a result of geopolitical dynamics.
- » Robust internal procedures and processes to ensure compliance with all regulatory developments across jurisdictions.

Link to Material Topic - M2,M7

Link to Risk and Opportunities - PBR4, SRRO1

Link to Strategy - Market growth

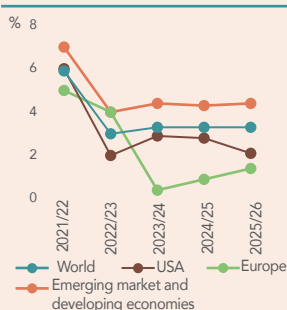
Link to future outlook – refer Haycarb Future outlook page 156-158

OPERATING ENVIRONMENT

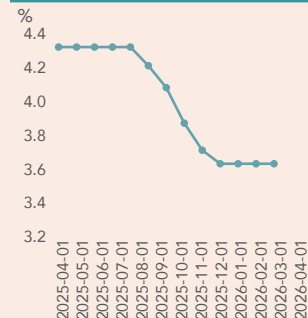
GLOBAL

- » The global economy remained resilient despite elevated trade uncertainties, expanding by 3.3% in 2025. Growth was driven by investments in technology including artificial intelligence, policy stimuli and accommodative financial conditions. Advanced economies grew by 1.7% while economic expansion in emerging market and developing economies amounted to 4.4% in 2025.
- » The US Federal Reserve introduced three progressive rate cuts during 2025 resulting in the effective Federal Funds rate declining to 3.5-3.75% as at end-March 2026 from 4.25-4.50% as at end-March 2025.

Global Economic Growth Rate



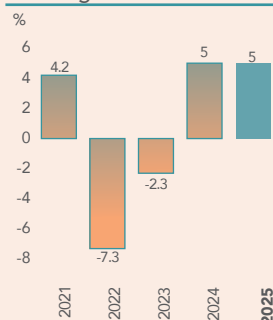
Effective Federal Funds Rate



SRI LANKA

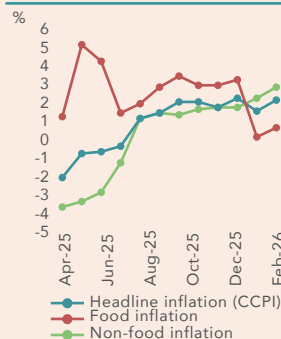
- » The Sri Lankan economy maintained its growth momentum despite elevated global uncertainty and an extreme weather event in November 2025. Inflation remained low providing headroom for accommodative monetary policy. Fiscal performance improved further during 2025 with the primary balance recording a notable surplus for the third consecutive year reflective of the GoSL's commitment to revenue based fiscal consolidation, prudent fiscal reforms and careful expenditure rationalisation. The External Sector also improved as reflected in a current account surplus for the third consecutive year. Strong tourism earnings, and workers' remittances coupled with robust export earnings upheld external sector performance despite a wider trade deficit driven primarily by the resumption of vehicle imports. Gross Official Reserve position improved to USD 6.8 Bn as at end-December 2025. (Central Bank of Sri Lanka – Annual Economic Review 2025)
- » However, the war in the Middle East which commenced in February 2026, presents significant implications for the Sri Lankan economy, particularly if it persists for a prolonged period.

GDP growth Rate



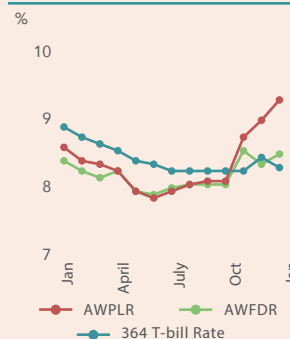
- » Real GDP expanded by 5% in 2025, consistent with growth levels in 2024.

Inflation Rate



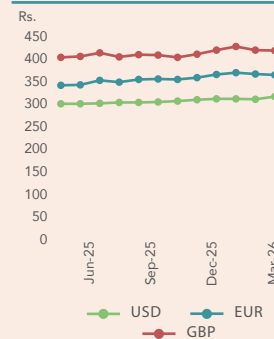
- » Headline inflation reverted to positive territory in August 2025 following 11 consecutive months of deflation. Accordingly, the CCPI-based headline inflation stood at 2.2% in March 2026 and is expected to reach CBSL's target rate of 5% during the second quarter of 2026.

Interest Rates



- » Market interest rates trended upward toward the latter half of 2025/26.
- » Accordingly, the Average Weighted Prime Lending Rate reached 9.39% in March 2026 compared with 8.39% in March 2025.

Exchange Rate



- » The Sri Lankan Rupee depreciated by 5.6% to Rs. 309.99/USD as at end-December 2025 (end-December 2024: 292.58/USD). The currency depreciated a further 1.6% to Rs. 315.19/USD as at end-March 2026.



OTHER COUNTRIES IN WHICH WE OPERATE

Key economic indicators in 2025	Thailand	Indonesia
GDP growth	2.4%	5.1%
Inflation	1.5%	2.7%
Currency movement against the US dollar	10.3% appreciation	3.5% depreciation

(IMF World Economic Outlook 2025 and IMF Country Article IV Consultation Reports [Thailand & Indonesia])

IMPACT ON HAYCARB

- (+) Exchange rate depreciation on export revenue
- (-) Exchange rate depreciation on import of raw material cost
- (-) Increase in borrowing cost

OUR RESPONSE

- » Pursued a strategy of diversification across markets, products and innovation.
- » Maintained focus on expanding our value-added product range for emerging applications.
- » Leveraged technology to access new markets.
- » Deepened relationships with existing customers through proactive engagement and a strong customer value proposition.
- » Entered into selective forward bookings to manage exchange rate volatility.

[Link to Material Topic - M5,M12,M18](#)

[Link to Risk and Opportunities - PBR2](#)

[Link to Strategy - Market growth - Refer Haycarb Future Outlook page 156-158](#)

ECONOMIC LANDSCAPE

HIGHLIGHTS

- » Changing workforce demographics and the growing presence of younger generations are influencing workplace expectations, organisational culture, and employee engagement practices at Haycarb.
- » Increasing focus on social equity and inclusive growth is reinforcing the importance of fair employment practices, employee wellbeing, and community development initiatives across the Group's operations.
- » Heightened awareness of environmental and social responsibility continues to drive the integration of sustainable and ethical practices throughout Haycarb's value chain.
- » Maintaining a diverse and inclusive workforce supports innovation, collaboration, and long-term business performance across Haycarb's global operations.

IMPACT ON HAYCARB

- (-) Increased employee-related expenses, potential legal exposure, and operational disruptions may impact financial performance.
- (-) Difficulties in attracting and retaining talent could affect employee engagement, productivity, and overall operational efficiency.
- (+) Strong long-term relationships with local communities continue to reinforce Haycarb's social licence to operate.

OUR RESPONSE

- » Fostered an inclusive employee value proposition focused on diversity, wellbeing, employee engagement, and continuous development. (refer Human Capital page 206-233)
- » Continued embedding ethical and sustainable business practices across operations and the value chain through the ACTIVATE initiative. (Refer Page 44)

SOCIAL

OPERATING ENVIRONMENT



SOCIAL

- » Maintained internationally recognised certifications relating to health and safety, environmental management, and quality assurance to strengthen stakeholder confidence. (Refer Intellectual Capital page 203)
- » Continued long-term community development initiatives including Puritas Sath Diyawara, Going Beyond, school book donations, and school meal programmes. (Refer Social Capital page 244)
- » Supported community empowerment and sustainable livelihoods through the Haritha Angara programme. (Refer Social and Relationship capital page 242)

Link to Material Topic - M3, M8, M14, M15, M17

Link to Risk and Opportunities - SRRO2, SRRO3

Link to Strategy - Market growth, strengthen global supply chains, Purpose-driven and committed teams, ESG mindset

Link to future outlook – Refer Haycarb Future outlook page 156-158

HIGHLIGHTS

- » Rapid technological advancements continue to create new growth opportunities across industries.
- » Data analytics and AI-driven insights are supporting improved decision-making and greater operational efficiency.
- » Increased adoption of digital platforms has expanded market access and improved customer engagement and convenience.
- » Advanced manufacturing technologies, automation systems, and precision tools are enhancing operational excellence and productivity.
- » Emerging clean technologies are increasing demand for specialised activated carbon solutions.
- » Greater dependence on digital infrastructure has also heightened exposure to cybersecurity threats and data privacy risks.

IMPACT ON HAYCARB

- (-) Increasing dependence on digital systems has elevated exposure to cybersecurity and data protection risks.
- (+) Growing demand for advanced and value-added activated carbon solutions continues to create opportunities for market expansion.
- (+) Enhanced digital integration is improving customer connectivity, responsiveness, and service efficiency.
- (+) Technology-driven process improvements are supporting greater operational efficiency, waste reduction, and cost optimisation.

OUR RESPONSE

- » Strengthened digital engagement initiatives to enhance market visibility and expand access to new customer segments.
- » Increased the integration of advanced technologies across operations to improve safety, automate processes, and enhance operational efficiency.
- » Leveraged data analytics and digital tools to support informed decision-making and strategic planning.
- » Continued to strengthen cybersecurity practices through robust IT governance, regular system assessments, technology investments, and employee awareness programmes.
(Refer Digital Capital Page 258 - 268)

Link to Material Topic - M3, M4, M6, M13, M19

Link to Risk and Opportunities -SRRO3, CRRO4

Link to Strategy - Market growth, strengthen global supply chains, Purpose-driven and committed teams, ESG mindset

Link to future outlook – Refer Haycarb Future outlook page 156-158

TECHNOLOGY

HIGHLIGHTS

- » Unsustainable production and consumption patterns continue to accelerate pollution, climate change, and biodiversity loss, while pollutants such as methane, black carbon, PFAS, and microplastics increasingly threaten human and ecosystem health.
- » Climate-related impacts and extreme weather events are becoming more frequent and severe, despite uneven global progress towards a low-carbon transition.

IMPACT ON HAYCARB

- (-) Limited availability and rising costs of key raw materials continue to place pressure on operations and profitability. Stricter emission and air quality regulations may require additional investments to reduce greenhouse gas emissions and enhance environmental performance.
- (-) These developments may impact operational efficiency and increase the overall business risk profile.
- (+) The global shift towards a low-carbon economy creates opportunities to enhance competitiveness and long-term financial performance.
- (+) Increasing regulatory focus on water and air quality is driving demand for activated carbon solutions, including PFAS removal and Puritas water treatment technologies.
- (+) Tightening industrial emission standards continue to increase the relevance of sustainable air purification solutions.

OUR RESPONSE

- » Continued investment in R&D to develop sustainable products that reduce the environmental impact of industrial activities. (Refer Intellectual Capital page 196-205)
- » Maintained strategic focus on reducing environmental footprints through the implementation of ACTIVATE initiatives. (refer Natural Capital page 170-195)
- » Strengthened supply chain resilience through diversification across multiple coconut-producing regions.
- » Ensured compliance with applicable environmental regulations across all operating countries.

Link to Material Topic - M1, M2, M9, M10, M11, M12, M16

Link to Risk and Opportunities - SRRO1, CRRO1, CRRO2, CRRO3, CRRO4

Link to Strategy - ESG mindset

Link to future outlook – Refer Haycarb Future outlook page 156-158

HIGHLIGHTS

- » Haycarb and its global operations require compliance with diverse and evolving regulatory frameworks across multiple jurisdictions.
- » Proactive monitoring and timely adaptation remained essential to ensure compliance and minimise the risk of inadvertent breaches.

IMPACT ON HAYCARB

- (-) Regulatory non-compliance resulting in fines, penalties, reputational damage and compliance cost.

OUR RESPONSE

- » Continuously reviewed regulatory developments across all operating jurisdictions to ensure ongoing compliance.
- » Maintained adherence to all applicable legal and regulatory obligations during the year under review.
- » Enhanced operational practices in line with international best standards through voluntary certifications in environmental management, quality assurance, and occupational health and safety (Refer intellectual Capital Page 203 for Certifications)

Link to Material Topic - M1, M2, M9, M10, M11, M12

Link to Risk and Opportunities - SRRO1, PBR3

Link to Strategy - Market growth, Innovation led growth, Strengthen global supply chain, Purpose-driven and Committed teams, ESG mindset

Link to future outlook – Refer Haycarb Future outlook page 156-158